Making Tax-Wise Financial Decisions

Think about how much of your income goes toward taxes. If you're in the higher tax brackets, you may be handing nearly half of every dollar you earn to Uncle Sam, but there are things you can do to keep more of your hard-earned money.

Reducing Your Taxes

One of the easiest ways to reduce your taxes is to take advantage of tax-free or tax-deferred employer-provided fringe benefits, such as:

- Benefits provided under cafeteria plans and flexible-spending accounts that allow you to take benefits in lieu of cash (tax-free)
- Medical and accident insurance paid by your employer (tax-free)
- Educational assistance programs (tax-free)
- Retirement plans such as 401(k) and 403(b) that allow you to make contributions (tax deferred)
- Incentive stock options (tax deferred)
- Employee stock purchase plans (tax deferred)
- Group term health insurance up to $50,000 (tax-free)
- Transportation subsidies such as mass transit incentives (tax-free)
- Employer-provided meals and lodging under certain circumstances (tax-free)

ALERT

Owning a home is another one of the best tax shelters available. Not only do you get to deduct your mortgage interest from your taxable income, you also get to keep up to $250,000 ($500,000 for married couples) of profit when you sell, without paying any taxes on the gain.
